



Direct mail

By targeting a large number of potential customers via mail or email, marketers hope to convert some into actual customers. This is achieved through the timing, design, and wording of the message.

How it works

Direct mail is one of the oldest forms of marketing. It works on the basis of sending a product offer to a large group of consumers in the knowledge that at least some will take up the offer and become customers. Direct mail relies on lists of names and addresses, which could be a company's existing clients or a list bought from a specialist agency. Almost any business, from a small

company to a corporation, may use direct mail to sell. Typical companies that sell through direct mail include mail-order companies, financial institutions, and nonprofit organizations seeking donations. The percentage of people who respond to direct mail, take up the offer, make a purchase, and become customers—a category known as the conversion rate—is extremely low, but nevertheless proves to be profitable.

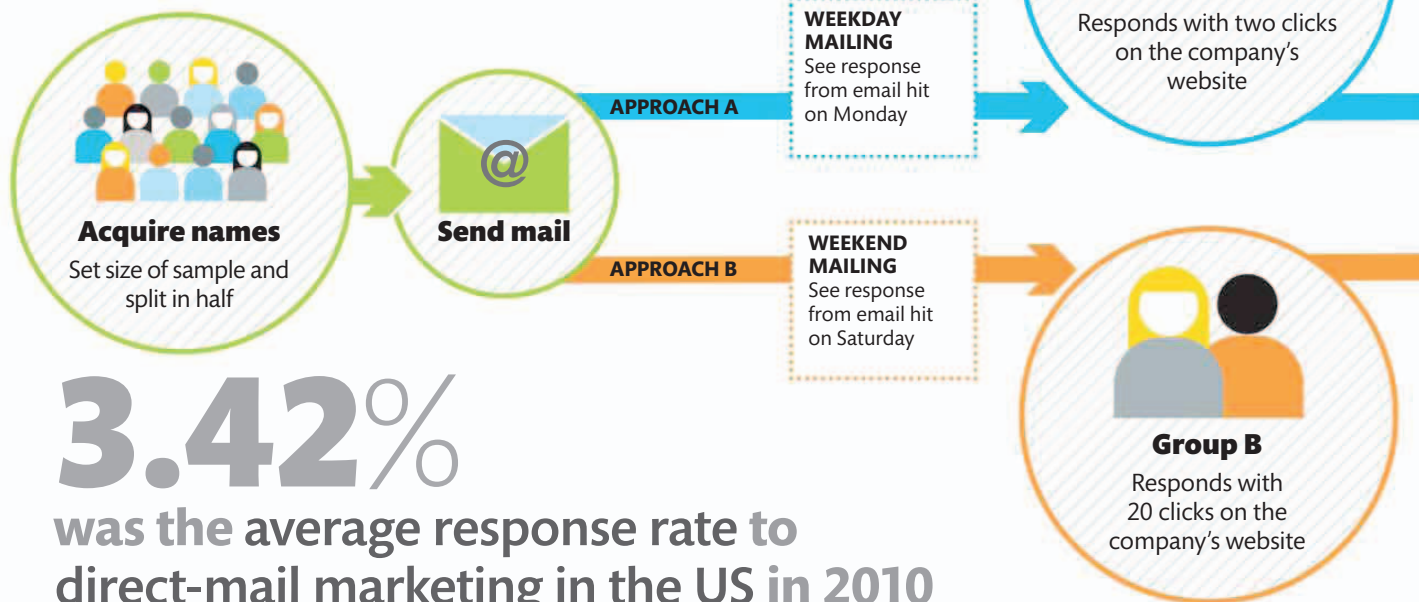


NEED TO KNOW

- › **Cleaning** Correcting name and address details on mailing lists
- › **Lettershop** Company that specializes in printing and mailing out letters and catalogs
- › **Merge/purge** Software system that pulls together different mailing lists, searches for duplicates, and makes corrections

Direct mail and email—A/B testing

A/B testing compares the effectiveness of two versions of a marketing email or direct mail copy. The two versions are sent to different groups of potential customers, and the response to each is measured.



3.42%
was the average response rate to
direct-mail marketing in the US in 2010